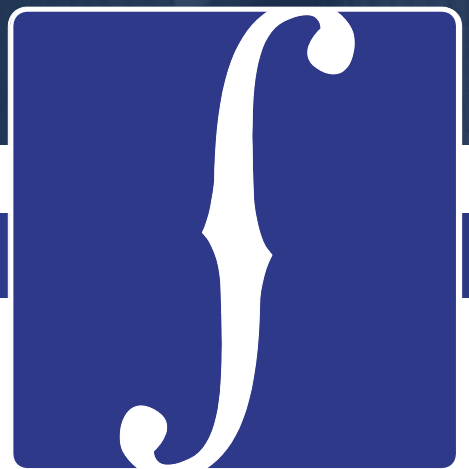


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FHA to FNMA Refinance

July 8, 2013

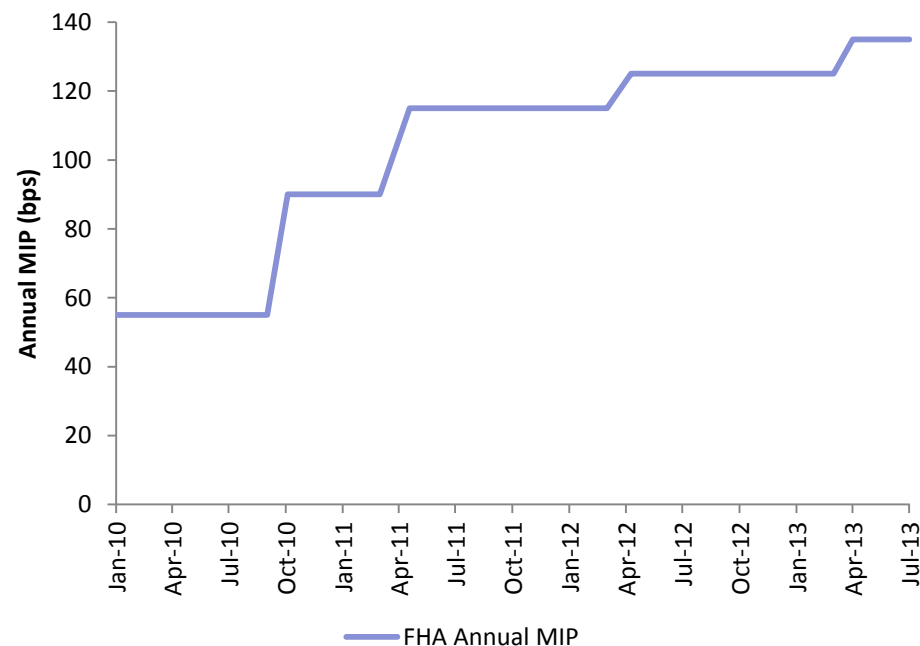
Given the recent increase in FHA insurance fees that discourage FHA to FHA refinance, and the increasing availability of private mortgage insurance (PMI) that makes it possible for high loan-to-value (LTV) borrowers to get FNMA guaranteed loans, the risk of FHA to FNMA refinance has increased. This study examines the crossover incentive for FHA to FNMA refinance arising from the differences in fees charged by each program. Further, it explores how this crossover incentive changes with home price appreciation. The study uses 2010 GN II 4.5s data as of June 2013 factor date.

Based on the current FHA and FNMA fee structures, 99% of the 2010 GN II 4.5s balance has a crossover incentive for FHA to FNMA refinance, and the weighted average crossover incentive is 29 bps. As HPA increases, the crossover incentive increases because FHA fees are fixed for LTV below 95% while FNMA fees decrease along with LTV. For an instant 10% increase in HPA, 100% of the balance would have a crossover incentive, and the weighted average crossover incentive would increase to 79 bps. These crossover incentive measures do not account for any differences in FHA and FNMA mortgage rates.

The FHA Mutual Mortgage Insurance Fund that pays for claims on losses of FHA insured loans has been incurring large losses mostly stemming from loans originated and insured before the financial crisis when underwriting was lax. To replenish the fund and maintain it at the statutory required level, FHA has increased the annual mortgage insurance premium (MIP) on new loans several times, for a cumulative increase of 80 bps, since January 2010.

The high FHA premium increases the risk of FHA to FNMA crossover refinance. This study compares the current FHA premium with the prevailing FNMA fees to quantify the crossover refinance risk.

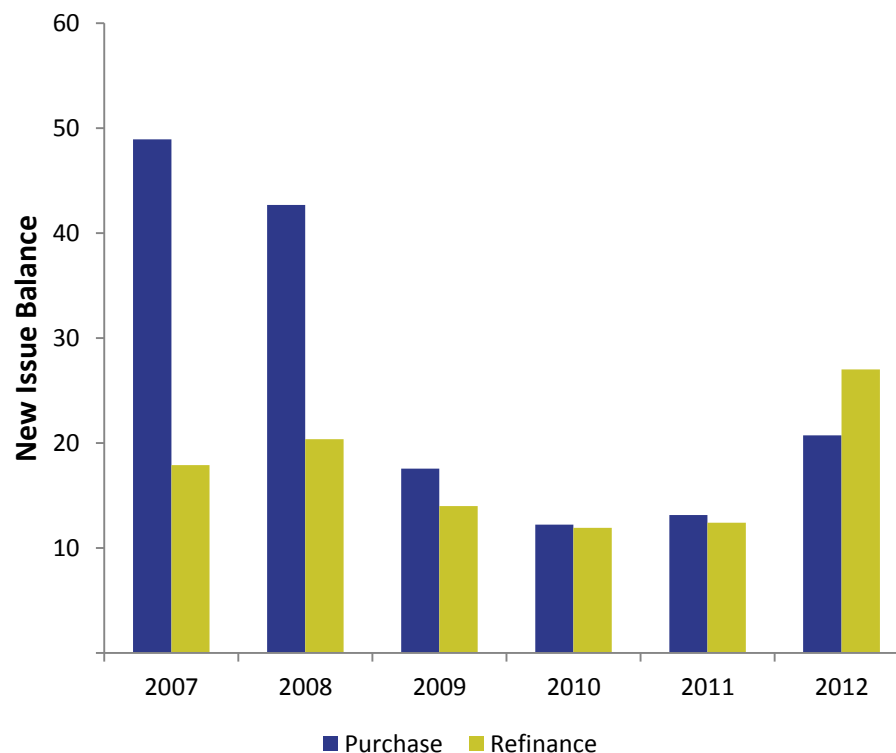
FHA Annual MIP Since January 2010



PMI is required for any FNMA guaranteed loan that has loan-to-value ratio (LTV) above 80%. PMI availability decreased during the financial crisis because of the large losses incurred by the key policy writers. This resulted in FHA being the primary insurer for loans to poor credit borrowers with low down payment.

After bottoming in 2010-2011, PMI availability has been increasing because of home price appreciation and improved financial condition of key policy writers. Given the high FHA premiums, PMI availability, especially at competitive rates, increases the possibility of FHA to FNMA crossover refinance.

Freddie Mac New Issuance with PMI (\$Billions)



FNMA LLPA (Loan Level Pricing Adjustment) - Apr 1, 2013

FICO Bucket	LTV Bucket			
	>80% and ≤ 85%	>85% and ≤ 90%	>90% and ≤ 95%	>95% and ≤ 97%
≥620 and <640	3.50%	3.50%	3.50%	3.75%
≥640 and <660	3.50%	3.00%	3.00%	3.00%
≥660 and <680	3.00%	2.50%	2.50%	2.50%
≥680 and <700	1.75%	1.50%	1.50%	1.75%
≥700 and <720	1.25%	1.25%	1.25%	1.75%
≥720 and <740	0.75%	0.75%	0.75%	1.25%
≥740 and <760	0.50%	0.50%	0.50%	1.00%
≥760	0.50%	0.50%	0.50%	1.00%

FHA UFMIP (Upfront Mortgage Insurance Premium) - Apr 1, 2013

FICO Bucket	LTV Bucket			
	>80% and ≤ 85%	>85% and ≤ 90%	>90% and ≤ 95%	>95% and ≤ 97%
≥620 and <640	1.75%	1.75%	1.75%	1.75%
≥640 and <660	1.75%	1.75%	1.75%	1.75%
≥660 and <680	1.75%	1.75%	1.75%	1.75%
≥680 and <700	1.75%	1.75%	1.75%	1.75%
≥700 and <720	1.75%	1.75%	1.75%	1.75%
≥720 and <740	1.75%	1.75%	1.75%	1.75%
≥740 and <760	1.75%	1.75%	1.75%	1.75%
≥760	1.75%	1.75%	1.75%	1.75%

- FHA upfront fee is constant while FNMA LLPA is more efficiently priced and depends on LTV and FICO credit score

PMI: Annual Rate - Apr 1, 2013

FICO	LTV Ratios			
	>80% and ≤85%	>85% and ≤90%	>90% and ≤95%	>95% and ≤97%
≥620 and < 660	0.74%	1.06%	1.50%	NA
≥660 and < 680	0.74%	1.06%	1.50%	NA
≥680 and < 700	0.53%	0.77%	1.09%	1.30%
≥700 and < 720	0.53%	0.77%	1.09%	1.25%
≥720 and < 760	0.42%	0.59%	0.77%	0.98%
≥760	0.33%	0.49%	0.64%	0.86%

FHA - PMI: Difference in Annual Rate - Apr 1, 2013

FICO	LTV Ratios			
	>80% and ≤85%	>85% and ≤90%	>90% and ≤95%	>95% and ≤97%
≥620 and < 660	0.56%	0.24%	-0.20%	NA
≥660 and < 680	0.56%	0.24%	-0.20%	NA
≥680 and < 700	0.77%	0.53%	0.21%	0.05%
≥700 and < 720	0.77%	0.53%	0.21%	0.10%
≥720 and < 760	0.88%	0.71%	0.53%	0.37%
≥760	0.97%	0.81%	0.66%	0.49%

FHA MIP: Annual Rate - Apr 1, 2013

FICO	LTV Ratios			
	>80% and ≤85%	>85% and ≤90%	>90% and ≤95%	>95% and ≤97.75%
≥620 and < 660	1.30%	1.30%	1.30%	1.35%
≥660 and < 680	1.30%	1.30%	1.30%	1.35%
≥680 and < 700	1.30%	1.30%	1.30%	1.35%
≥700 and < 720	1.30%	1.30%	1.30%	1.35%
≥720 and < 760	1.30%	1.30%	1.30%	1.35%
≥760	1.30%	1.30%	1.30%	1.35%

- FHA annual MIP only depends on LTV (1.30% for LTV up to 95% and 1.35% for LTV above 95%)
- FNMA annual PMI fee is more efficiently priced and depends on LTV and FICO credit score

PMI and FNMA LLPA: Total Fees Expressed as Annual Rate - Apr 1, 2013

FICO Bucket	LTV Bucket			
	>80% and ≤ 85%	>85% and ≤ 90%	>90% and ≤ 95%	>95% and ≤ 97%
≥620 and <640	1.62%	1.94%	2.38%	NA
≥640 and <660	1.62%	1.81%	2.25%	NA
≥660 and <680	1.49%	1.69%	2.13%	NA
≥680 and <700	0.97%	1.15%	1.47%	1.74%
≥700 and <720	0.84%	1.08%	1.40%	1.69%
≥720 and <740	0.61%	0.78%	0.96%	1.29%
≥740 and <760	0.55%	0.72%	0.90%	1.23%
≥760	0.46%	0.62%	0.77%	1.11%

FHA- FNMA: Difference in Total Fees Expressed as Annual Rate - Apr 1, 2013

FICO Bucket	LTV Bucket			
	>80% and ≤ 85%	>85% and ≤ 90%	>90% and ≤ 95%	>95% and ≤ 97%
≥620 and <640	-0.18%	-0.50%	-0.94%	NA
≥640 and <660	-0.18%	-0.37%	-0.81%	NA
≥660 and <680	-0.05%	-0.25%	-0.69%	NA
≥680 and <700	0.47%	0.30%	-0.03%	-0.25%
≥700 and <720	0.60%	0.36%	0.04%	-0.20%
≥720 and <740	0.83%	0.66%	0.48%	0.20%
≥740 and <760	0.90%	0.73%	0.55%	0.26%
≥760	0.99%	0.83%	0.68%	0.38%

FHA Annual MIP and UFMIP: Total Fees Expressed as Annual Rate - Apr 1, 2013

FICO Bucket	LTV Bucket			
	>80% and ≤ 85%	>85% and ≤ 90%	>90% and ≤ 95%	>95% and ≤ 97%
≥620 and <640	1.44%	1.44%	1.44%	1.49%
≥640 and <660	1.44%	1.44%	1.44%	1.49%
≥660 and <680	1.44%	1.44%	1.44%	1.49%
≥680 and <700	1.44%	1.44%	1.44%	1.49%
≥700 and <720	1.44%	1.44%	1.44%	1.49%
≥720 and <740	1.44%	1.44%	1.44%	1.49%
≥740 and <760	1.44%	1.44%	1.44%	1.49%
≥760	1.44%	1.44%	1.44%	1.49%

- The total fee differences do not include any FHA/FNMA mortgage rate differential
- Shaded region indicates preference for FHA to FNMA refinance

- Total FHA fees only depend on LTV (1.44% for LTV up to 95% and 1.49% for LTV above 95%)
- Total FNMA fees are more efficiently priced and depend on LTV and FICO

GN II 2010 4.5s Outstanding Balance Distribution (\$Millions)

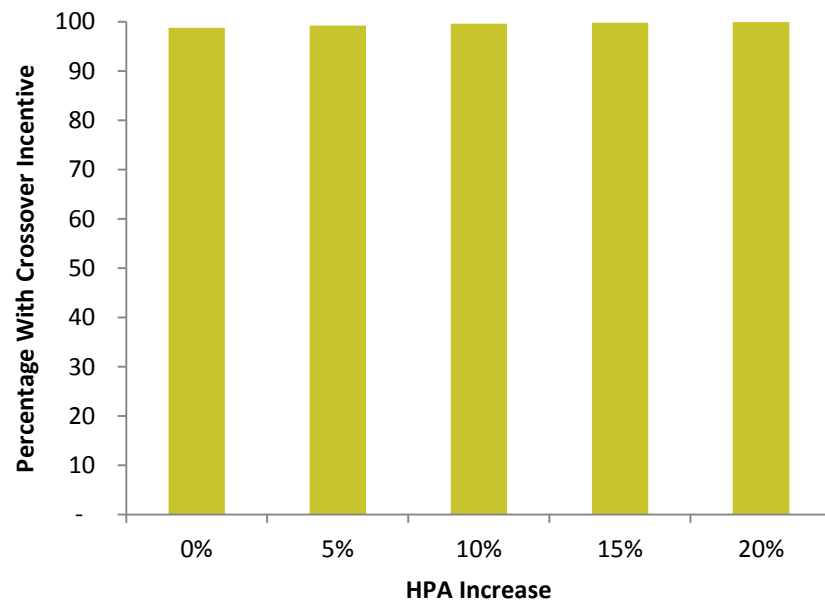
FICO Bucket	LTV Bucket					
	0 and ≤ 80	>80 and ≤ 85	>85 and ≤ 90	>90 and ≤ 95	>95 and ≤ 97	>97+
≥300 and <620	-	1	28	2	-	-
≥620 and <660	0	5	37	14	8	1
≥660 and <680	4	155	59	41	16	1
≥680 and <700	15	665	10,308	84	17	7
≥700 and <720	6	42	23,379	6,451	12	17
≥720 and <740	2	15	20	25	5	2
≥740 and <760	-	6	17	13	-	-
≥760	0	0	0	1	1	0

GN II 2010 4.5s Outstanding Balance Distribution (%)

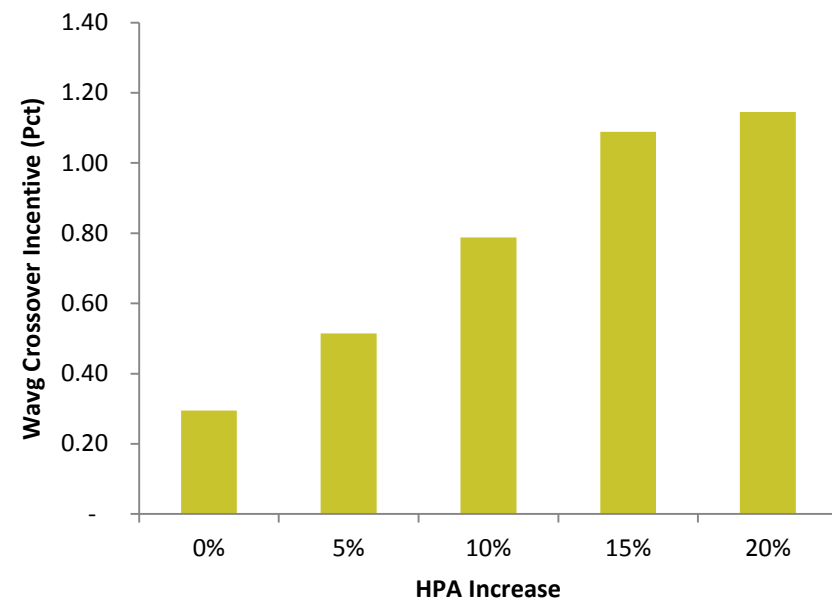
FICO Bucket	LTV Bucket					
	0 and ≤ 80	>80 and ≤ 85	>85 and ≤ 90	>90 and ≤ 95	>95 and ≤ 97	>97+
≥300 and <620	0%	0%	0%	0%	0%	0%
≥620 and <660	0%	0%	0%	0%	0%	0%
≥660 and <680	0%	0%	0%	0%	0%	0%
≥680 and <700	0%	2%	25%	0%	0%	0%
≥700 and <720	0%	0%	56%	16%	0%	0%
≥720 and <740	0%	0%	0%	0%	0%	0%
≥740 and <760	0%	0%	0%	0%	0%	0%
≥760	0%	0%	0%	0%	0%	0%

- Shaded area has higher relative incentive for FHA to FNMA refinance
- The distribution shifts to the left with home price appreciation – increasing incentive and improving chances of FHA to FNMA refinance

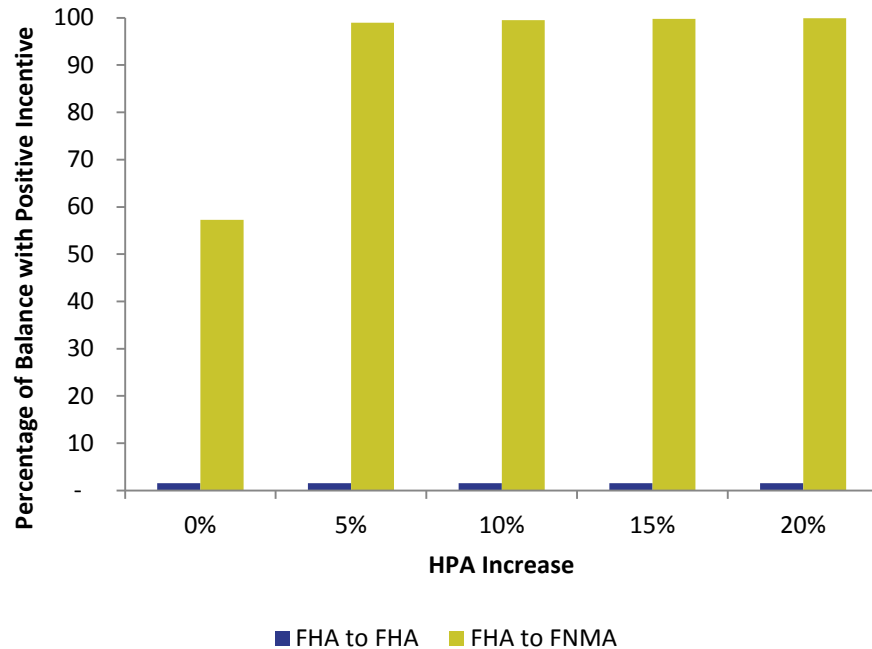
Percentage of Balance with FHA to FNMA Crossover
Incentive as HPA Increases



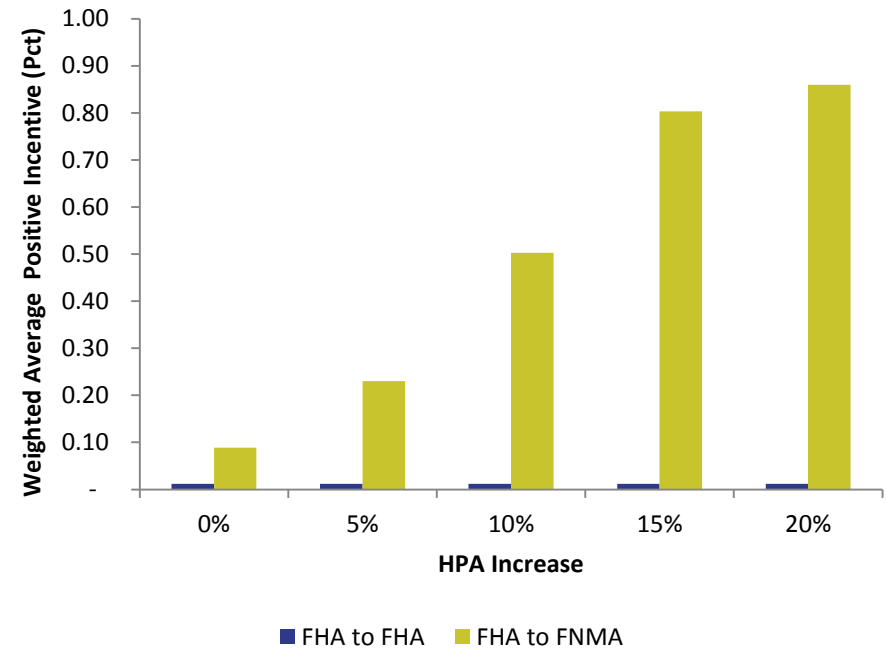
Weighted Average Crossover Incentive as HPA
Increases



Percentage of Balance with Positive Incentive to Refinance as HPA Increases

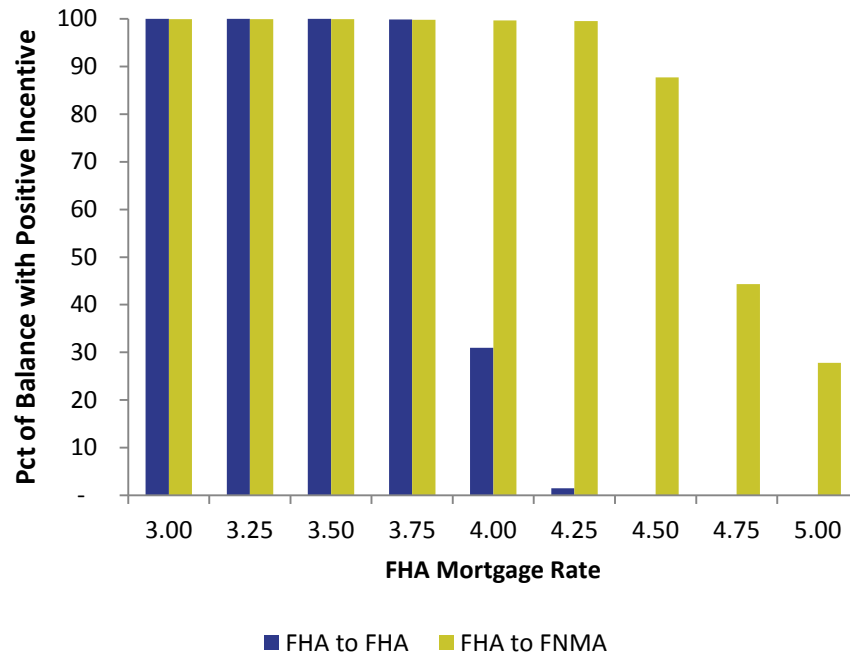


Weighted Average Positive Incentive to Refinance as HPA Increases

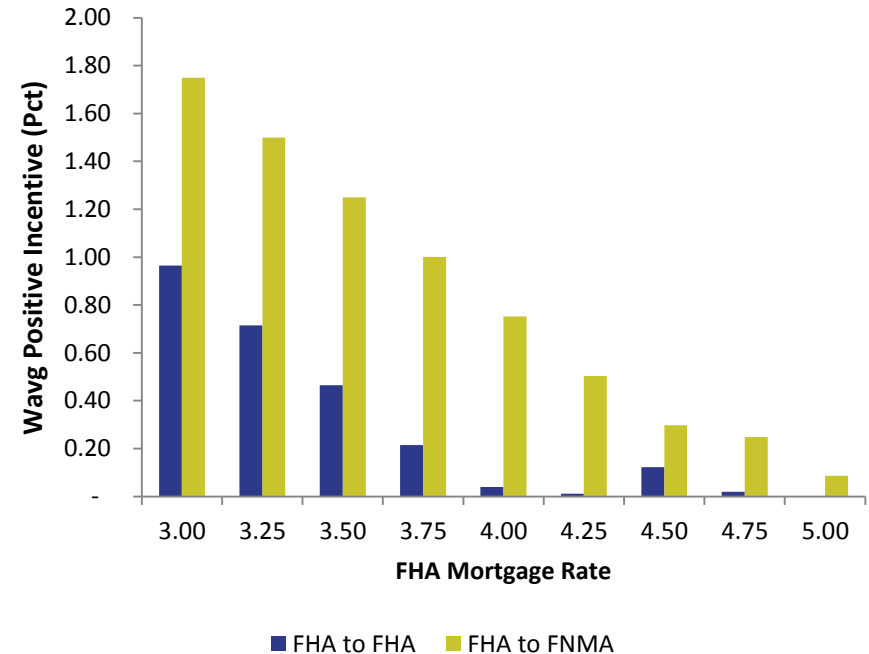


- At FHA rate of 4.25% and current LTV, 2010 4.5s are mostly out of the money for FHA to FHA, but 57% has positive incentive for FHA to FNMA refinance with a weighted average incentive of 9 bps
- At the same rate levels but with a 10% instant increase in HPA, FHA to FHA would still be out of the money but 99% of balance would refinance to FNMA with weighted average incentive of 50 bps
- At 4.25% mortgage rate or higher and no policy change, HPA is the main source of refinance risk for 2010 GN II 4.5s

Percentage of Balance with Positive Incentive to Refinance as FHA Mortgage Rate Increases



Weighted Average Positive Incentive to Refinance as Mortgage Rate Increases



- With an instant 10% HPA increases and FHA rate of 3.75% or less, 100% of balance has positive incentive to refinance from FHA to FHA, but FHA to FNMA is more beneficial
- At FHA rate of 4.00% and above, only FHA to FNMA refinance makes sense, but the crossover is limited at higher rates – at 4.75% FHA rate, 44% of balance has positive incentive for FHA to FNMA refinance but the weighted average positive incentive is only 25 bps
- Effect of HPA on crossover refinance is damped by increase in mortgage rate

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